

Project Bluegrass: Diversified NAV Facility with Upside Participation

A chance to partner with a proven, distribution-focused lower-middle-market sponsor across an eight-company portfolio, with structured upside participation on top of a double-digit fixed coupon.

Strictly confidential; distributed to a select group of prospective financing partners. Summary information only; a full data room is available upon execution of an NDA. This document is entirely fictional and prepared for a candidate-evaluation exercise; any resemblance to actual firms is coincidental.

Investment Highlights

- Diversification: eight portfolio companies across packaging, healthcare, software, services, and precision manufacturing; the largest position represents just 15% of portfolio NAV.
- A sponsor that returns capital: Hollis Bridge's Fund I (2013, US\$280M) has distributed 2.3x to investors; Fund II (2016, US\$450M) has already returned 1.6x. The borrower, Fund III (2019, US\$620M), stands at 1.6x TVPI / 1.1x DPI with a 16.0% net IRR, which reflects cash actually returned rather than paper marks. Figures net of fees, as of March 31, 2026.
- Visible repayment path: two portfolio companies, Halewood Packaging and Stonegate Veterinary, are in active, banker-led sale processes with indications received; the GP expects both to sign within six months.
- Productive use of proceeds: approximately US\$52 million funds two signed add-on acquisitions (for Ridgetop Fire & Safety and Ironvale Precision), with the balance providing bridge liquidity ahead of the realizations in process.
- Current valuations: portfolio figures as of March 31, 2026, per the Fund's most recent quarterly valuation.

The Sponsor

Founded in 2011 and based in Boston, Hollis Bridge Partners (US\$1.4 billion AUM) buys founder-owned services and niche manufacturing businesses in the U.S. lower middle market, usually as the first institutional capital, and builds them up through a disciplined buy-and-build approach. It has fully or substantially realized most of its first two funds, a level of distribution discipline that is uncommon in the current market.

The Facility

Hollis Bridge Partners Fund III, L.P. is seeking a US\$80.0 million term facility secured against its eight-company portfolio, which carries an aggregate net asset value of US\$310.0 million. That is a loan-to-value at close of 25.8%, against a maximum LTV covenant of 32.5%. An existing relationship lender to the GP has indicated it will commit up to 50% of the facility; the remainder is being offered to one additional financing partner. The facility has a four-year term, a pledge of the Fund's interests in portfolio company holding vehicles, an exit-proceeds sweep above an agreed threshold, and New York governing law.

Economics

The facility carries a 1.50% closing fee and a fixed coupon of 11.00% per annum, of which 8.00% is cash pay and 3.00% may, at the borrower's election, be paid in kind and added to the loan balance. On top of that, the

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lender receives an upside participation equal to 5.0% of the growth in portfolio NAV above the US\$310.0 million closing level, payable at maturity or on full repayment, capped so that the lender's aggregate all-in IRR does not exceed 18.0%. On the sponsor's base case, the total economics produce a projected gross all-in IRR of roughly 14 to 15%, assuming a three-year average life.

Portfolio Snapshot

The five largest positions are profiled below; the remaining three are summarized in the table that follows. Full portfolio company detail is available in the data room.

Halewood Packaging (packaging; 80% owned): revenue US\$120.0M, EBITDA US\$11.0M, net debt US\$40.0M, enterprise value US\$100.0M; Fund value US\$48.0M (15% of NAV). In an active sale process. Brightmark Dental Group (healthcare; 70% owned): revenue US\$95.0M, EBITDA US\$12.0M, net debt US\$45.0M, enterprise value US\$105.0M; Fund value US\$42.0M (14%). Corenza Software (application software; wholly owned): revenue US\$24.0M, EBITDA US\$3.0M, a net cash position of US\$5.0M, enterprise value US\$33.0M; Fund value US\$38.0M (12%). Ridgetop Fire & Safety (business services; 85% owned): revenue US\$58.0M, EBITDA US\$7.0M, net debt US\$25.0M, enterprise value US\$65.0M; Fund value US\$34.0M (11%); signed add-on pending. Bluewater Marine (industrial services; wholly owned): revenue US\$70.0M, EBITDA US\$6.5M, net debt US\$25.0M, enterprise value US\$55.0M; Fund value US\$30.0M (10%).

Company	Sector	Fund Value (US\$M)	% of NAV
Maplecore Foods	Food & beverage	46.0	15%
Stonegate Veterinary	Healthcare services	40.0	13%
Ironvale Precision	Precision manufacturing	32.0	10%

Note: Stonegate Veterinary is in an active sale process; Ironvale Precision has a signed add-on acquisition pending. Ownership levels for the three positions above range from 60% to 100% and are detailed in the data room.

Timeline & Contact

Indications of interest are requested within three weeks of receipt of this summary. The data room, which includes full portfolio company financials, valuation support, and the GP's realization pipeline, is available upon execution of an NDA. Contact: NAV Financing Team, Meridian Park Capital Advisors.